

The biggest holding in the S&P 500 right now is Apple, and even that only makes up 7 per cent of the fund. Tesla in 2022 makes up 2 per cent of the fund. It's a decision for you to make if you decide that 2 per cent is important to you.

There are many ethical funds out there, but I'd like to give you two popular funds to start off with. (Be warned: their names are a mouthful.)

### **Vanguard FTSE Social Index Fund Admiral Shares (Ticker: VFTAX)**

Don't let the name scare you. This is a fund that follows the S&P 500 index but negatively screens for ESG factors. It's important to note though that this fund still invests in Microsoft, Meta and Tesla, all of which might not meet some investors' criteria. It's a good reminder that what may be ethical to you may not be to someone else, and therefore checking the holdings of these ethical funds is important.

### **First Trust NASDAQ Clean Edge Smart Grid Infrastructure Index Fund (Ticker: GRID)**

This ETF tracks the NASDAQ OMX Clean Edge Smart Grid Infrastructure Index, which invests in clean energy companies that are focused on electricity, such as Aptiv PLC or Johnson Controls International. It's heavily focused in one sector (clean energy), so there is lower diversification.

## **Is it actually ethical or is it greenwashing?**

Unfortunately, you and I aren't the only two people who know that ethical investing has become more popular. Being tagged as ethical brings in more investors, and so funds are now more inclined to suggest their funds or companies are ethical or green as a marketing gimmick.

To make matters worse, there are no regulations to define what 'sustainable investments' involve — and the term 'ESG' can be slapped onto any fund. After all, ethical investing is so subjective, right?

An example of this is the BlackRock carbon ETF called BlackRock U.S. Carbon Transition Readiness ETF. (BlackRock is a famous investing